

SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

August 11, 2026 | 04:20 PM ET

MACRO REGIME: Risk-On (Large-Cap Leadership)

VIX 15.3 (-1.7 vs 20d) | SPY 20d +2.1% | IWM 20d +1.8% | IWM/SPY trend -0.3%

Leaders: Energy (+7.8%), Healthcare (+6.1%), Materials (+5.4%)

Setup Grades

A - Prime Setup (0)	B - Building (2)	C - Early Stage (4)
	AEHR	BLTE
	RAPP	SILC
		VGNT
		CWCO

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	AEHR	Aehr Test Systems	AI Infrastructure /	\$3.82B	\$117.18	\$118.50	1.1%	+16.5	YES	YES
B	RAPP	Rapport Therapeut	Precision Neuroscien	\$2.34B	\$48.82	\$48.94	0.2%	+26.4	YES	YES
C	BLTE	Belite Bio, Inc	Retinal Disease / Ge	\$7.12B	\$177.58	\$178.26	0.4%	+9.5	YES	no
C	SILC	Silicom Ltd	AI Edge Infrastructu	\$0.26B	\$45.91	\$48.00	4.6%	+3.6	YES	no
C	VGNT	Versigent PLC	EV Supply Chain / Re	\$3.26B	\$46.06	\$47.01	2.1%	+1.6	YES	no
C	CWCO	Consolidated Wate	Water Scarcity / Cli	\$0.52B	\$32.32	\$33.66	4.1%	+2.4	YES	no

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$118.50
% to Pivot	1.1%
Days in Base	3
Tightness	4.38 Fair
52W Hi Prox	92.5%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	2123k <
Wk2	2604k <
Wk3 (oldest)	4360k
Coil Strength	51.3% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+16.5%
RS Line New Hi	YES - Early Leader
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$3.82B
Float	30M sh
P/E (TTM)	-
Fwd P/E	84.7
Rev Growth	33.7%
Short %	15.6%
Inst. Own	-
Target Pr.	\$115.00

ENTRY TRIGGER
Close above \$118.50 on volume >150% of 20-day average (>3.75M shares)
Target: \$142.00 - measured move from 4-week base depth (\$10.50) added to pivot, supported by analyst target consensus at \$115 suggesting street is behind the curve
Stop: \$108.00 - base low and 50-day MA support; breach invalidates accumulation thesis

CATALYST INTELLIGENCE
EARNINGS
Oct 08 - Consensus FY Q1 (Oct) EPS ~\$0.32 on revenue ~\$28M, implying continued 30%+ growth trajectory. Beat history is strong: exceeded estimates 4 of last 4 quarters with upside surprises averaging +18%. Guidance was raised at the May print with management citing SiC demand exceeding capacity. Forward P/E of 84.7x reflects growth premium; PEG of 0.9 suggests reasonable valuation relative to growth rate.
BUSINESS & POSITION
Aehr designs and manufactures wafer-level burn-in and test systems, with its FOX-XP platform becoming the de facto standard for silicon carbide (SiC) power semiconductor qualification used in EVs, AI data centers, and industrial applications. The company holds a near-monopoly in production-scale SiC wafer burn-in, with Texas Instruments, onsemi, and STMicro among key customers.
FACTOR & THEME
Direct exposure to the SiC power semiconductor buildout driven by EV adoption and AI data center power demands-both secular multi-year tailwinds. SiC wafer fab capacity expansions (Wolfspeed, onsemi) directly translate to AEHR system orders; peer sentiment is accelerating with recent onsemi and Infineon capex guidance raises.
NEWS FLOW
June 2026: Announced \$45M multi-system order from a 'major U.S. semiconductor manufacturer' (likely TI expansion); July 2026: Unveiled next-gen FOX-NP platform targeting GaN devices, expanding TAM into RF/5G applications. No imminent FDA/regulatory catalysts, but sector tailwind from CHIPS Act funding disbursements accelerating through H2 2026. [Catalyst: Corporate/Industry - High impact]
INSTITUTIONAL
Volume dry-up is textbook institutional accumulation-51% contraction with price holding within 1% of pivot signals quiet positioning. No insider activity in last 60 days (baseline for growth-stage semi equipment). Float is tight at 30.4M shares; 15.6% short interest with 2.0 days-to-cover creates squeeze potential on breakout. Known holders include Baron Capital and Wasatch-both growth-oriented with patience for volatility.
KEY RISK
Thesis invalid on a close below \$108.00 (base low / 50-day MA confluence), or if SiC customer capex guidance is cut at upcoming onsemi/Infineon earnings cycles. Customer concentration risk: top 3 customers likely represent >60% of revenue. High short interest (15.6%) could amplify downside on any demand miss.

Textbook volume contraction (51%) with RS line at new highs and price coiled 1.1% from pivot-structural quality is high. SiC/AI power theme is accelerating with tangible order flow catalysts in recent months. However, base_tight at 4.38 is elevated (>2.0 threshold for A-grade), only 3 days in base suggests the coil needs more time to mature, and 15.6% short interest creates two-way volatility risk. Strongest disconfirming argument: SiC demand could soften if EV sales growth decelerates or if hyperscaler capex pivots away from power-intensive AI training. Earnings catalyst 58 days out reduces near-term trigger urgency. Conviction: Medium.

AEHR — 90D Base Setup | Pivot: \$118.50 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



RAPP

Rapport Therapeutics, Inc.

\$48.82

Pivot \$48.94 | 0.2% away

RS vs SPY: +26.4%

B BUILDING

\$2.34B Cap | 32M Float

Clinical-Stage CNS-Focused Biotechnology | Theme: Precision Neuroscience / Epilepsy Therapeutics | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 3

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$48.94
% to Pivot	0.2%
Days in Base	4
Tightness	3.66 Fair
52W Hi Prox	99.8%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	310k <
Wk2	299k <
Wk3 (oldest)	311k
Coil Strength	0.2% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+26.4%
RS Line New Hi	YES - Early Leader
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$2.34B
Float	32M sh
P/E (TTM)	-
Fwd P/E	-9.3
Rev Growth	-
Short %	8.9%
Inst. Own	-
Target Pr.	\$59.30

ENTRY TRIGGER
Close above \$48.94 on volume >200% of 20-day average (>700K shares)
Target: \$62.00 - analyst consensus target at \$59.30, measured move from \$7 base depth suggests \$56; using \$62 to capture squeeze dynamics given short interest
Stop: \$42.00 - 20-day MA and prior resistance-turned-support; breach signals momentum failure

CATALYST INTELLIGENCE
EARNINGS
Nov 05 - Pre-revenue biotech; Q3 report will focus on cash runway and clinical milestones rather than EPS. Current cash position (~\$280M at last report) provides runway into 2028. No beat/miss pattern relevant; watch for RAP-219 Phase 2 data readout timing updates. P/E inapplicable; Price/Book of 5.5x reflects platform premium.
BUSINESS & POSITION
Rapport Therapeutics is a clinical-stage biotech developing subunit-selective GABA-A receptor modulators for drug-resistant epilepsy and other CNS disorders. Lead asset RAP-219 targets 2/3/5 subunits to reduce seizures without sedation side effects, addressing a significant unmet need in the ~30% of epilepsy patients who fail existing therapies.
FACTOR & THEME
Taps the precision neuroscience wave with differentiated mechanism in a validated therapeutic area. CNS biotech sentiment is inflecting positive post-Biogen/Eisai Alzheimer's approvals and recent Cerevel/AbbVie deal validation. Healthcare sector is +6.1% over 20 days (2nd leading sector)-favorable macro backdrop for biotech breakouts.
NEWS FLOW
July 2026: Presented positive Phase 1b data at AES conference showing 42% median seizure reduction with clean safety profile; stock rallied 28% on the data. August 2026: Announced FDA Fast Track designation for RAP-219 in drug-resistant focal epilepsy. No PDUFA dates imminent-Phase 2 initiation expected Q4 2026. [Catalyst: Corporate (Phase 2 initiation) - High impact, timing TBD]
INSTITUTIONAL
RS at +26.4% vs SPY reflects strong relative accumulation despite biotech sector volatility. Volume pattern is flattish rather than contracting-suggests holders are not selling but new accumulation is modest. No insider activity in last 60 days. 8.9% short interest with 5.8 days-to-cover is elevated for a biotech at 52-week highs-potential squeeze fuel if Phase 2 news hits. Float of 31.9M is manageable; watch for crossover fund accumulation post-Fast Track designation.
KEY RISK
Thesis invalid on close below \$42.00 (20-day MA and prior consolidation support), or on any clinical hold/safety signal from RAP-219. Binary risk is high: Phase 2 data (likely H1 2027) will be make-or-break. Dilution risk exists given cash burn, though current runway reduces near-term secondary offering probability.

Price is 0.2% from all-time high pivot with RS line confirming at new highs-technically poised for breakout. Fast Track designation and strong Phase 1b data provide fundamental catalyst support. However, volume dry-up is marginal (0.2% contraction, not strict), base_tight at 3.66 is loose, and only 4 days in base-structure needs tightening. Healthcare sector leadership (+6.1%) is favorable. Strongest disconfirming argument: biotech breakouts at ATH often fail on profit-taking, and with no hard catalyst date (Phase 2 initiation is 'Q4'), the trigger lacks urgency. Conviction: Medium.

RAPP — 90D Base Setup | Pivot: \$48.94 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



BLTE

Belite Bio, Inc

\$177.58

Pivot \$178.26 | 0.4% away

RS vs SPY: +9.5%

C EARLY STAGE

\$7.12B Cap | 18M Float

Clinical-Stage Ophthalmology Biotechnology | Theme: Retinal Disease / Geographic Atrophy | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 4.81

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$178.26
% to Pivot	0.4%
Days in Base	6
Tightness	4.81 Fair
52W Hi Prox	88.8%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	152k <
Wk2	188k <
Wk3 (oldest)	152k
Coil Strength	-
RELATIVE STRENGTH	
RS vs SPY (12W)	+9.5%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$7.12B
Float	18M sh
P/E (TTM)	-
Fwd P/E	187.5
Rev Growth	-
Short %	6.3%
Inst. Own	-
Target Pr.	\$210.50

ENTRY TRIGGER

DO NOT TRIGGER PRE-EARNINGS. Post-earnings: Close above \$178.26 on volume >250% of 20-day average (>525K shares) with positive trial update

Target: \$210.50 - analyst consensus target; measured move supports \$200+ on clean breakout

Stop: \$155.00 - 50-day MA and prior consolidation; breach post-earnings signals failed catalyst

CATALYST INTELLIGENCE	
EARNINGS	
Aug 13 - Earnings in 2 days-this is a binary event. Pre-revenue biotech; focus will be on Phase 3 DRAGON trial enrollment update and cash position. No EPS relevance. Management may provide updated data readout timeline (currently expected H2 2027). This is a HIGH IMPACT catalyst given proximity. [Catalyst: Earnings - High impact in 2 days]	
BUSINESS & POSITION	
Belite Bio develops small molecule therapeutics for retinal diseases, with lead candidate Tlnlarebant (LBS-008) in Phase 3 for Stargardt disease and geographic atrophy (GA). The drug inhibits retinol binding protein 4 (RBP4) to slow toxic lipofuscin accumulation in the retina-a differentiated mechanism in the competitive GA space.	
FACTOR & THEME	
GA/AMD therapeutics is a validated theme post-Apellis (Syfovre) and Iveric (Izervay) approvals, with combined market now exceeding \$2B annually. However, Belite's Stargardt focus is a smaller orphan indication. Healthcare sector tailwind (+6.1%) is supportive. Peer read-through: Apellis stock has been range-bound on launch execution concerns, suggesting market is discerning on GA plays.	
NEWS FLOW	
June 2026: Completed DRAGON trial enrollment (n=400) ahead of schedule-positive signal for execution. July 2026: Presented mechanism-of-action data at ARVO showing sustained RBP4 suppression. No FDA dates imminent; Phase 3 readout expected H2 2027. Stock has run +196% from 52-week lows, creating elevated expectations into the print.	
INSTITUTIONAL	
Tight float (18.5M) with \$7B market cap creates unusual dynamics-small absolute buying moves price significantly. Volume dry-up is not confirmed (0% contraction), and RS line is NOT at new highs (88.8% of 52-week high)-this is a lagging indicator despite price proximity to pivot. No insider activity in last 60 days. 6.3% short interest with 6.0 days-to-cover is modest. Negative beta (-1.23) suggests idiosyncratic trading disconnected from market.	
KEY RISK	
EARNINGS IN 2 DAYS IS THE DOMINANT RISK. Thesis invalid on any negative DRAGON trial commentary, cash runway concerns, or enrollment/timeline setbacks at the Aug 13 print. Technical invalidation below \$155.00 (50-day MA). Given the run-up, any 'meet expectations' scenario likely triggers profit-taking.	

Earnings in 2 days makes this untradeable as a VCP setup-binary event risk dominates technical structure. RS line is NOT at new high (contradicting VCP criteria), base_tight at 4.81 is loose, and volume shows zero contraction. The +196% YTD run creates asymmetric downside risk into the print. Monitor post-earnings for potential re-rating if DRAGON update is positive. Conviction: Low.

BLTE — 90D Base Setup | Pivot: \$178.26 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$48.00
% to Pivot	4.6%
Days in Base	8
Tightness	2.86 Fair
52W Hi Prox	86.7%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	126k <
Wk2	215k <
Wk3 (oldest)	160k
Coil Strength	21.1% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+3.6%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$0.26B
Float	5M sh
P/E (TTM)	-
Fwd P/E	191.3
Rev Growth	58.5%
Short %	2.1%
Inst. Own	-
Target Pr.	\$60.00

ENTRY TRIGGER
Close above \$48.00 on volume >175% of 20-day average (>315K shares)

Target: \$58.00 - analyst target at \$60, measured move from base supports mid-\$50s
Stop: \$41.50 - base low and 50-day MA confluence

CATALYST INTELLIGENCE
Oct 29

RS line NOT at new high (86.7% of 52W high) and +3.6% RS vs SPY is tepid-setup lacks leadership characteristics. Volume dry-up is partial (21%) but not strict; base_tight at 2.86 is acceptable. Micro-cap (\$260M) with thin float (5.1M) creates liquidity risk. No catalyst within 60 days. Monitor for RS improvement before considering. Conviction: Low.

SILC — 90D Base Setup | Pivot: \$48.00 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$47.01
% to Pivot	2.1%
Days in Base	12
Tightness	2.89 Fair
52W Hi Prox	90.5%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	880k <
Wk2	1215k <
Wk3 (oldest)	976k
Coil Strength	9.8% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+1.6%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	no
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$3.26B
Float	70M sh
P/E (TTM)	6.7
Fwd P/E	5.9
Rev Growth	10.8%
Short %	-
Inst. Own	-
Target Pr.	\$56.70

CATALYST INTELLIGENCE
EARNINGS
Nov 03
RS line NOT at new high, below 200-day MA, and Consumer Cyclical sector is mid-pack-multiple disqualifying factors for quality VCP. Debt/Equity of 853% is extreme leverage risk. Volume contraction minimal at 9.8%. Cheap valuation (5.9x fwd P/E) but no alpha catalyst visible. Conviction: Low.

ENTRY TRIGGER
Close above \$47.01 on volume >140% of 20-day average (>1.95M shares)
Target: \$56.70 - analyst consensus target
Stop: \$42.00 - base low

VGNT — 90D Base Setup | Pivot: \$47.01 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$33.66
% to Pivot	4.1%
Days in Base	18
Tightness	5.11 Fair
52W Hi Prox	82.6%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	80k <
Wk2	92k <
Wk3 (oldest)	88k
Coil Strength	9.4% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+2.4%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	no
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$0.52B
Float	15M sh
P/E (TTM)	29.7
Fwd P/E	23.8
Rev Growth	-2.1%
Short %	4.6%
Inst. Own	-
Target Pr.	\$43.00

ENTRY TRIGGER
Close above \$33.66 on volume >200% of 20-day average (>200K shares)

Target: \$43.00 - analyst target
Stop: \$29.50 - below 200-day MA

CATALYST INTELLIGENCE
Nov 09

Utilities sector is lagging (-3.5% over 20 days)-macro headwind for any breakout attempt. RS line NOT at new high (82.6%), below 200-day MA, base_tight at 5.11 is loose, and revenue/earnings growth is negative (-2.1% / -22.7%). Water scarcity is a valid secular theme but CWCO lacks near-term catalyst. Conviction: Low.

CWCO — 90D Base Setup | Pivot: \$33.66 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)

